NOTE 4 – INCOME TAXES

While the Tax Cuts and Jobs Act of 2017 provides for a territorial tax system, effective for tax years beginning after December 31, 2017, it includes the Global Intangible Low-Taxed Income ("GILTI") and Foreign Derived Intangible Income ("FDII") provisions. The Company has elected to account for these provisions in the period in which incurred. During fiscal years 2021 and 2020, the Company recorded net income tax benefits of less than $0.1 million each year as a result of these provisions. Foreign subsidiary's undistributed earnings are considered to be permanently reinvested.

Transcat's income before income taxes on the Consolidated Statements of Income is as follows:

	FY 2021	FY 2020
United States	$ 9,187	$ 8,783
Foreign	795	947
Total	$ 9,982	$ 9,730

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The provision for income taxes for fiscal years 2021 and 2020 is as follows:

	FY 2021	FY 2020
Current Tax Provision:		
Federal	$ 1,449	$ 630
State	428	285
Foreign	103	329
	$ 1,980	$ 1,244
Deferred Tax (Benefit) Provision:		
Federal	$ 96	$ 371
State	(22)	77
Foreign	137	(29)
	$ 211	$ 419
Provision for Income Taxes	$ 2,191	$ 1,663

A reconciliation of the income tax provision computed by applying the statutory U.S. federal income tax rate and the income tax provision reflected in the Consolidated Statements of Income is as follows:

	FY 2021	FY 2020
Federal Income Tax at Statutory Rate	$ 2,096	$ 2,044
State Income Taxes, net of federal benefit	282	294
Foreign Taxes and Federal, State and Foreign Tax Credits	9	(97)
Tax Impact of Equity Awards	(274)	(876)
Other, net	78	298
Total	$ 2,191	$ 1,663

	March 27, 2021	March 28, 2020
Deferred Tax Assets:		
Accrued Liabilities	$ 354	$ 531
Lease Liabilities	2,439	2,253
Performance-Based Stock Award Grants	439	432
Inventory Reserves	132	105
Non-Qualified Deferred Compensation Plan	104	98
Post-Retirement Health Care Plans	506	385
Stock-Based Compensation	95	70
Deferred Payroll Tax – CARES Act	259	-
Capitalized Inventory Costs	118	126
Other	267	265
Total Deferred Tax Assets	$ 4,713	$ 4,265
Deferred Tax Liabilities:		
Goodwill and Intangible Assets	$ (1,233)	$ (1,162)
Right of Use Assets	(2,408)	(2,198)
Depreciation	(4,230)	(3,858)
Other	(43)	(72)
Total Deferred Tax Liabilities	$ (7,914)	$ (7,290)
Net Deferred Tax Liabilities	$ (3,201)	$ (3,025)

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The Company files income tax returns in the U.S. federal jurisdiction, various states and Canada. The Company is no longer subject to examination by U.S. federal income tax authorities for fiscal years 2017 and prior, by state tax authorities for fiscal years 2015 and prior, and by Canadian tax authorities for fiscal years 2014 and prior. There are no income tax years currently under examination by Canadian or state income tax authorities. The fiscal year ended March 31, 2018 is currently under examination by the Internal Revenue Service. A reserve of less than $0.1 million was recorded during the fiscal year ended March 27, 2021 relating to this examination.

During fiscal years 2021 and 2020, there were no uncertain tax positions. No interest or penalties related to uncertain tax positions were recognized in fiscal years 2021 and 2020 or were accrued at March 27, 2021 and March 28, 2020.

The Company’s effective tax rate for fiscal years 2021 and 2020 was 21.9% and 17.1%, respectively. The tax rate is affected by recurring items, such as state income taxes and tax credits, which the Company expects to be fairly consistent in the near term. It is also affected by discrete items that may occur in any given year but are not consistent from year to year. The discrete benefits related to share-based compensation awards in each of fiscal years 2021 and 2020 were $0.3 and $0.9 million, respectively.

The Company expects to receive certain federal, state and Canadian tax credits in future years. The Company also expects to receive discrete tax benefits related to share-based compensation awards in fiscal year 2022. As such, it expects its effective tax rate in fiscal year 2022 to be between 20.0% and 22.0%.